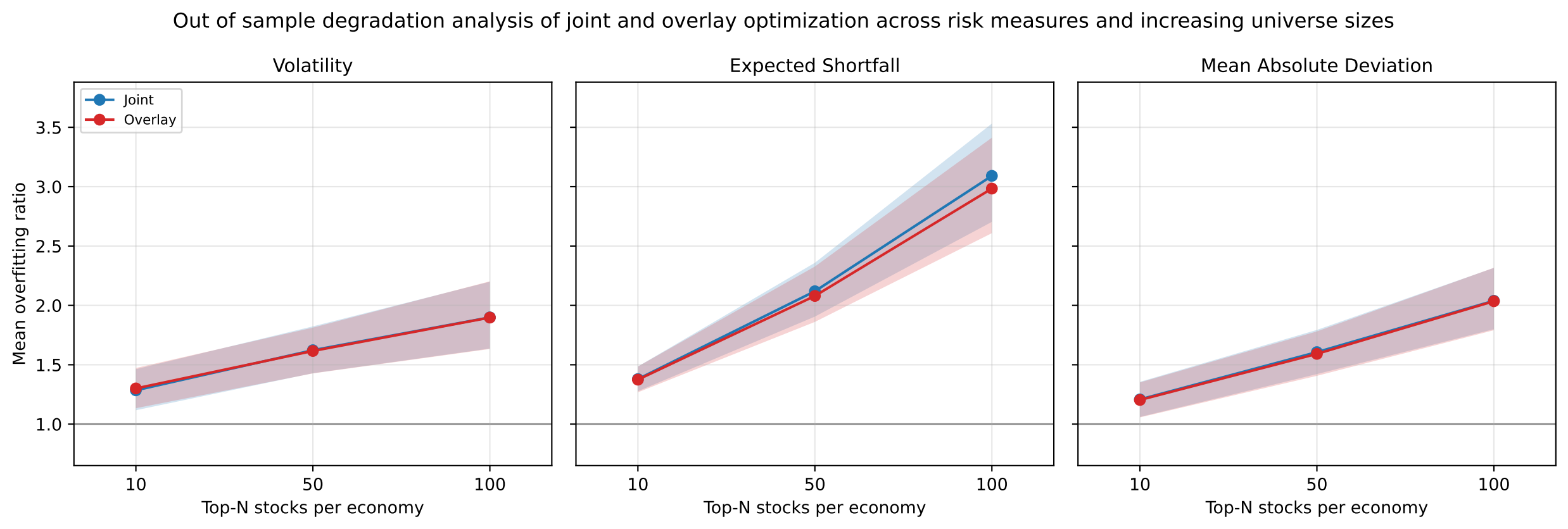
Out of sample degradation analysis of joint and overlay optimization across risk measures and increasing universe sizes
Volatility
Expected Shortfall
Mean Absolute Deviation
Joint
Overlay
Mean overfitting ratio
3.5
3.0
2.5
2.0
1.5
1.0
10
50
100
Top-N stocks per economy